

# THAILAND REAL ESTATE COMPREHENSIVE LEGAL GUIDE

Complete Reference for Foreign Investors

2025 Edition

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# PART I: OWNERSHIP STRUCTURES

## 1. PROPERTY OWNERSHIP TYPES

### 1.1 Freehold Ownership

Freehold ownership represents absolute ownership of property without time limitation. The owner possesses complete rights to use, transfer, lease, or mortgage the property. This is the highest form of property ownership recognized under Thai law.

#### Key Characteristics:

- Perpetual ownership rights
- Full transferability through sale, gift, or inheritance
- Can be used as collateral for loans
- Registration fee: 2% of assessed value
- No time restrictions on ownership

#### Advantages:

- Complete legal security
- Maximum property value
- Easier resale
- Full control over property decisions

#### Disadvantages:

- Higher purchase price (typically 10-15% more than leasehold)
- Higher transfer fees and taxes
- Limited availability for foreigners (condos only within quota)

### 1.2 Leasehold (Long-term Rental)

Leasehold represents a long-term rental arrangement where the lessee gains rights to use and occupy property for a specified period. In Thailand, the most common structure is 30 years with options to renew for two additional 30-year periods (30+30+30 years).

#### Key Characteristics:

- Standard term: 30 years, renewable up to 90 years total
- Must be registered at Land Office for terms over 3 years
- Transferable to third parties
- Registration fee: 1% of assessed value
- Can inherit and bequeath

**Advantages:**

- Lower initial cost (10-15% less than freehold)
- Access to land and houses
- Lower registration fees
- Can be structured for near-perpetual use

**Disadvantages:**

- Time-limited ownership
- Renewal not automatically guaranteed
- Potential complications at lease expiry
- May affect property value

**CRITICAL:** Leasehold contracts *MUST* be properly structured with clear renewal provisions and registered at the Land Office. Unregistered leases exceeding 3 years are only valid for 3 years under Thai law.

## 2. FOREIGN OWNERSHIP RIGHTS & RESTRICTIONS

### 2.1 What Foreigners CAN Own

#### A. Condominium Units (Freehold)

Foreigners can own condominium units in their own name with full freehold rights, subject to the foreign ownership quota.

##### Foreign Ownership Quota:

- Maximum: 49% of total saleable area in any condominium
- Remaining 51% must be Thai-owned
- Calculated by floor area, not unit count
- Quota status must be verified before purchase

##### Requirements for Foreign Freehold Ownership:

1. Funds must be transferred from abroad in foreign currency
2. Currency must be converted to THB by Thai bank
3. Bank must issue FET Form (Foreign Exchange Transaction)
4. Minimum transfer: USD 50,000 for FET issuance
5. FET must be presented at Land Office during registration

#### B. Buildings and Structures (Without Land)

Foreigners can own houses, villas, and other structures, but NOT the land beneath them. The land must be leased or owned through a Thai company.

### 2.2 What Foreigners CANNOT Own

#### Land Ownership

Direct land ownership by foreigners is PROHIBITED under Section 86 of the Land Code. Land can only be owned by:

- Thai nationals
- Thai juristic persons with 51%+ Thai shareholding
- Certain BOI-promoted companies (with restrictions)

##### Exception for High Net Worth Individuals:

Under very limited circumstances, foreigners may acquire up to 1 rai (1,600 sqm) of land if:

- Investment of minimum THB 40 million in property (excluding land and house)
- Investment made within past 5 years
- Property used for residential purposes
- Approval from Ministry of Interior required

**NOTE:** *This exception is rarely granted and requires extensive documentation. Most foreigners use leasehold or company structures instead.*

## 3. ACQUISITION METHODS

### 3.1 Direct Purchase of Condominium

The most straightforward and legally secure method for foreigners. Suitable for condominium units within the foreign quota.

**Process:**

1. Verify foreign quota availability
2. Open Thai bank account
3. Transfer funds from abroad (minimum USD 50,000)
4. Obtain FET form from bank
5. Conduct due diligence
6. Sign purchase agreement
7. Register at Land Office

**Advantages:**

- Full freehold ownership
- Maximum legal protection
- Straightforward process
- Can inherit to heirs

### 3.2 Registered Leasehold

Long-term lease registered at Land Office. Most common method for houses, villas, and land access.

**Structure:**

- Initial term: 30 years
- First renewal: 30 years (must be in contract)
- Second renewal: 30 years (must be in contract)
- Total possible: 90 years

**Critical Elements of Lease Contract:**

1. Clear identification of parties
2. Precise property description
3. Lease term and renewal provisions
4. Payment terms
5. Rights and obligations of both parties
6. Provisions for death or default
7. Building ownership rights
8. Subletting and transfer rights



**IMPORTANT:** The first 30-year term can be registered. Renewal periods are contractual obligations and cannot be pre-registered. Ensure renewal terms are properly documented.

### 3.3 Thai Company Structure

Formation of Thai limited company to hold land. Traditional method but increasingly scrutinized by authorities.

#### Structure Requirements:

- 51% Thai shareholding (minimum)
- 49% foreign shareholding (maximum)
- Minimum 3 shareholders
- Thai shareholders must have genuine investment
- Real business activity required

#### Control Mechanisms:

- Preferred shares with voting rights
- Director appointment rights
- Loan agreements
- Management agreements

#### Ongoing Obligations:

- Annual audited accounts
- Tax filings (corporate and VAT)
- Annual general meetings
- Social security payments (if employees)
- Maintenance of corporate records

#### Annual Costs:

- Accounting: THB 15,000-30,000
- Audit: THB 10,000-20,000
- Legal compliance: THB 10,000-15,000
- Total: approximately THB 35,000-65,000/year

**2025 WARNING:** Thai authorities have intensified scrutiny of 'nominee' companies formed solely for property ownership. Shell companies without genuine business activity may be deemed illegal, potentially resulting in forced sale of land. Exercise extreme caution with this structure.

## PART II: LEGAL FRAMEWORK

### 4. THE CONDOMINIUM ACT B.E. 2522 (1979)

#### 4.1 Overview

The Condominium Act is the primary legislation governing condominium ownership in Thailand. It establishes the legal framework for condominium development, foreign ownership, and management.

#### 4.2 Key Provisions

##### Section 6: Condominium Registration

Requires registration of condominium with Land Department. Only registered condominiums offer individual unit ownership with title deeds.

##### Section 19: Foreign Ownership Qualification

Foreigners qualifying for ownership must be:

1. Permitted residence under Immigration Law
2. Permitted entry under Investment Promotion Law
3. Juristic persons under Section 97-98 of Land Code
4. Juristic persons with BOI promotion certificate
5. Individuals who transferred foreign currency equal to purchase price

##### Section 19 bis: Foreign Ownership Quota

Establishes 49% maximum foreign ownership of total floor area in any condominium. Historical note: Originally 40% (pre-1999), temporarily 100% (1999-2004) in specific areas, currently 49% since 2004.

##### Section 18: Common Property & Management

Defines common property (land, building exterior, hallways, facilities) and establishes joint ownership proportional to unit size. Requires formation of condominium juristic person.

#### 4.3 Condominium Fees

Section 18 authorizes condominium juristic person to collect fees for:

- Common area maintenance
- Security and management
- Utilities for common areas
- Repairs and improvements
- Insurance
- Sinking fund contributions

#### **4.4 Inheritance Restrictions**

Critical limitation: Foreign heirs inheriting condominium units must qualify under Section 19 to register ownership. If heir doesn't qualify, unit must be sold within 1 year. Land Department may dispose of unit if not sold, retaining 5% fee.

## 5. LAND CODE ACT B.E. 2497 (1954)

### 5.1 Foreign Land Ownership Prohibition

**Section 86:** Prohibits foreigners from acquiring land except by succession by law, provided Thai citizenship is acquired within the prescribed period.

**Section 96 bis:** Allows Foreign nationals married to Thai spouse to own land up to 1 rai, but with strict conditions that funds must be proven to belong solely to Thai spouse.

### 5.2 Lease Provisions

**Section 538:** Lease of immovable property for >3 years must be in writing and registered. Unregistered leases valid only 3 years.

**Section 540:** Maximum initial lease term is 30 years. Renewal possible but not automatically guaranteed.

## PART IV: TAXATION & FEES

### 12. TRANSFER TAXES & FEES

| Tax/Fee              | Freehold                   | Leasehold            | Who Pays                 | When Paid       |
|----------------------|----------------------------|----------------------|--------------------------|-----------------|
| Transfer Fee         | 2% of assessed value       | 1% of assessed value | Split 50/50 buyer/seller | At registration |
| Stamp Duty           | 0.5% (if held >5 years)    | N/A                  | Buyer                    | At registration |
| Special Business Tax | 3.3% (if sold <5 years)    | N/A                  | Seller                   | At registration |
| Withholding Tax      | Based on schedule          | Based on schedule    | Seller                   | At registration |
| Sinking Fund         | One-time: THB 500-1000/sqm | N/A                  | Buyer                    | At handover     |

## PART V: VISA & RESIDENCE

### 16. LONG-TERM RESIDENT (LTR) VISA

Introduced September 2022, updated January 2025. 10-year visa for high-potential foreigners.

#### 16.1 Four Categories

##### 1. Wealthy Global Citizen

- Minimum USD 1 million in assets
- USD 500,000 investment in Thailand (property/bonds/FDI)
- No income requirement (as of 2025)

##### 2. Wealthy Pensioner

- Age 50+
- USD 80,000/year passive income
- OR USD 40,000-80,000 + USD 250,000 Thailand investment

##### 3. Work from Thailand Professional

- Remote work for established foreign company
- USD 80,000/year income (last 2 years)
- OR USD 40,000-80,000 + relevant degree

##### 4. Highly Skilled Professional

- Working in Thailand in targeted industries
- USD 80,000/year income
- OR USD 40,000-80,000 + Master's degree in tech

## 16.2 Benefits

- 10-year visa (5+5 years)
- Work permit in 3-5 days
- Annual reporting (vs 90-day)
- 17% personal income tax rate
- Unlimited dependents (2025 update)
- Fast track airport services
- Foreign income tax exemption

## APPENDIX A: GLOSSARY OF TERMS

**Chanote (Nor Sor 4):** Highest form of land title with GPS coordinates

**FET Form:** Foreign Exchange Transaction form from Thai bank

**Juristic Person:** Condominium management entity

**Rai:** Thai land measurement (1,600 sqm)

**Tabien Baan:** House registration book

**Usufruct:** Right to use property for lifetime

**Superficies:** Right to own buildings on others' land

#### **LEGAL DISCLAIMER**

This document is provided for informational purposes only and does not constitute legal advice. Thai property law is complex and subject to change. Always consult qualified legal professionals before making property investment decisions. The information herein is current as of November 2025.

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